

ASPEED Technology (5274 TT)

 Target price: **TWD26,660.00** (from TWD19,800.00)

 Share price (14 Sep): **TWD17,980.00** | Up/downside: **+48.3%**

5 4 3 2 1


Buy
 (unchanged)

Promising outlook on agentic AI

- Rising CPU:XPU ratio is becoming a key growth driver for Aspeed...
- ... which indicates solid regular server demand despite supply hiccups
- Reaffirming our Buy (1) rating and raising 12-month TP to TWD26,660

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What's new: We provide our update on Aspeed following its upbeat 4Q26 revenue guidance on 4 September. We believe the strong guidance reaffirms our positive view that agentic AI has served as a catalyst for end demand for regular servers starting early 2026. Baseboard management controller (BMC) shipments for general servers (AI and non-AI together) should grow c.50% YoY in 2026. We believe that the new 4Q26 revenue guidance implies regular server shipment volume will increase c.50% YoY in 2027, hence the 36/34% uplift in our 2027/28E earnings forecasts.

What's the impact: Solid regular server shipments ahead. Aspeed's latest guidance range for its 4Q26 sales at TWD6.6-6.8bn implies 4Q26 BMC shipments of c.12m. With this run-rate, total BMC shipments in 2027 should be near c.50m, much higher than our previous estimate of 36.1m. We attribute the ongoing strength to agentic AI and AI-related general-purpose demand. We forecast Aspeed's BMC for general servers to increase to 27m in 2027E (from 18m in 2026E and 13m in 2025). At the same time, we expect BMC for AI servers to increase c.50% to 20m in 2027E (up from 13m in 2026E and 5m in 2025). To sum up, we now forecast BMC shipments of 32.7m in 2026 and 47.6m in 2027 (+46% YoY in 2027). Based on our AI-related general server assumptions (excluding non-AI general servers), we expect the CPU:XPU ratio to rise to 1:1.3 in 2027E (from 1:2.6 in 2026E). We expect a rising CPU:XPU ratio to become a key growth driver and share-price catalyst in the years after 2027. Due to the solid end demand, management is considering adjusting its pricing again from November to factor in the additional packaging cost, leading to our higher gross margin assumptions from 4Q26.

New growth opportunities. Following our visits to Aspeed's booth at Computex 2026 and the OCP APAC conference, we believe Aspeed will continually maximise the dollar content per server board. Compared with last year's version (embedded software-defined FPGA), Aspeed is integrating a Lattice FPGA into its next-generation Bridge IC (SMC; AST1840), which should support higher ASPs for its products.

What we recommend: We lift our 2026-28E EPS by 9-36% to factor in our higher BMC shipment assumptions. We lift our 12M TP to TWD26,660 (from TWD19,800), based on an unchanged PER of 66x (high end of its past-3-year PER range of 21-78x), applied to our 1-year forward EPS forecast. Our 2025-28E EPS CAGR of 83% makes our target PER undemanding, given the resulting PEG ratio of 0.8. Key downside risk: weak AI server demand.

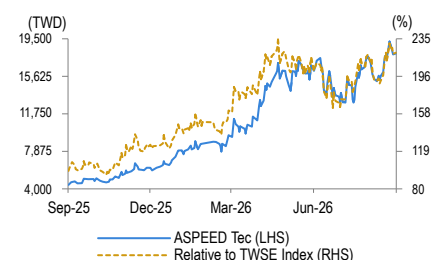
How we differ: Our 2026-28E EPS are 6-26% higher than the consensus, likely due to our bullish view on Aspeed's ASP and shipment story.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	9.3	33.9	32.7
Net profit change	9.1	35.7	34.0
Core EPS (FD) change	9.1	35.7	34.0

Source: Daiwa forecasts

Share price performance



12-month range	4,409.09-19,220.00
Market cap (USDbn)	23.61
3m avg daily turnover (USDm)	152.47
Shares outstanding (m)	42
Major shareholder	FENG HUA INVEST (13.9%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	18,268	35,844	52,117
Operating profit (m)	10,096	20,645	29,623
Net profit (m)	8,396	16,814	24,001
Core EPS (fully-diluted)	201.820	404.151	576.907
EPS change (%)	113.8	100.3	42.7
Daiwa vs Cons. EPS (%)	6.0	25.6	26.4
PER (x)	89.1	44.5	31.2
Dividend yield (%)	0.4	0.4	0.7
DPS	80.0	80.0	120.0
PBR (x)	n.a.	29.2	16.8
EV/EBITDA (x)	71.8	34.8	23.6
ROE (%)	85.2	89.0	68.3

Source: FactSet, Daiwa forecasts

Aspeed: Daiwa's revenue and earnings forecasts vs. consensus

(TWDm)	2026E			2027E			2028E		
	Previous	New	Consensus	Previous	New	Consensus	Previous	New	Consensus
Revenue	16,714	18,268	17,337	26,770	35,844	28,711	39,275	52,117	40,293
Diff (%)		9.3%	5.4%		33.9%	24.8%		32.7%	29.3%
Gross Margin (%)	70.7%	70.6%	69.5%	69.9%	70.9%	68.9%	69.1%	69.7%	68.7%
Operating profit	9,221	10,096	9,470	15,156	20,645	16,379	22,058	29,623	23,490
Op Margin (%)	55.2%	55.3%	54.6%	56.6%	57.6%	57.0%	56.2%	56.8%	58.3%
Net profit	7,697	8,396	7,919	12,395	16,814	13,391	17,911	24,001	18,984
EPS (TWD)	185.01	201.82	190.35	297.93	404.15	321.88	430.52	576.91	456.32
Diff (%)		9.1%	6.0%		35.7%	25.6%		34.0%	26.4%

Source: Bloomberg, Daiwa forecasts

Aspeed: quarterly and annual P&L statement

(TWDm)	2026E				2027E				2025	2026E	2027E	2028E
	1Q	2Q	3QE	4QE	1QE	2QE	3QE	4QE				
Net revenue	3,147	3,871	4,573	6,676	6,981	8,041	9,641	11,182	9,085	18,268	35,844	52,117
COGS	-970	-1,084	-1,351	-1,962	-2,024	-2,330	-2,817	-3,264	-2,906	-5,366	-10,435	-15,767
Gross profit	2,177	2,788	3,222	4,715	4,957	5,711	6,824	7,917	6,179	12,902	25,410	36,350
Operating expenses	-518	-702	-659	-928	-949	-1,077	-1,273	-1,465	-1,518	-2,806	-4,764	-6,727
Operating profit	1,659	2,086	2,564	3,787	4,007	4,633	5,552	6,453	4,660	10,096	20,645	29,623
Non-operating profit	109	180	41	36	135	37	36	36	195	365	243	194
Pre-tax profit	1,768	2,265	2,605	3,822	4,142	4,670	5,588	6,488	4,855	10,461	20,888	29,817
Income taxes	-354	-424	-521	-764	-808	-911	-1,090	-1,265	-928	-2,063	-4,073	-5,814
Net profit	1,414	1,841	2,083	3,058	3,334	3,759	4,498	5,223	3,928	8,396	16,814	24,001
Net EPS (TWD)	34.01	44.27	50.10	73.53	80.18	90.40	108.16	125.60	94.4	201.8	404.2	576.9

Operating Ratios

Gross margin	69.2%	72.0%	70.5%	70.6%	71.0%	71.0%	70.8%	70.8%	68.0%	70.6%	70.9%	69.7%
Operating margin	52.7%	53.9%	56.1%	56.7%	57.4%	57.6%	57.6%	57.7%	51.3%	55.3%	57.6%	56.8%
Pre-tax margin	56.2%	58.5%	57.0%	57.3%	59.3%	58.1%	58.0%	58.0%	53.4%	57.3%	58.3%	57.2%
Net margin	44.9%	47.6%	45.6%	45.8%	47.8%	46.7%	46.7%	46.7%	43.2%	46.0%	46.9%	46.1%

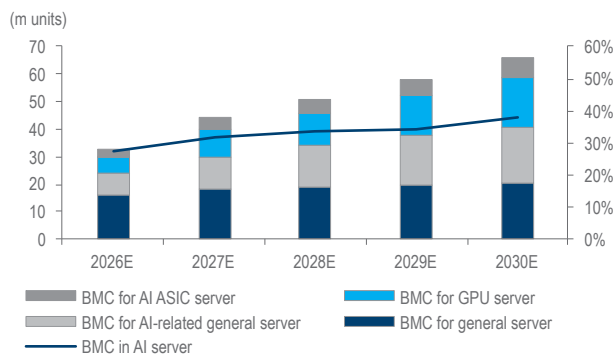
YoY (%)

Net revenue	52%	72%	96%	173%	122%	108%	111%	67%	41%	101%	96%	45%
Gross profit	59%	83%	100%	182%	128%	105%	112%	68%	49%	109%	97%	43%
Operating profit	62%	76%	108%	211%	142%	122%	117%	70%	60%	117%	104%	43%
Pre-tax profit	60%	188%	73%	162%	134%	106%	115%	70%	53%	115%	100%	43%
Net profit	59%	193%	72%	155%	136%	104%	116%	71%	53%	114%	100%	43%

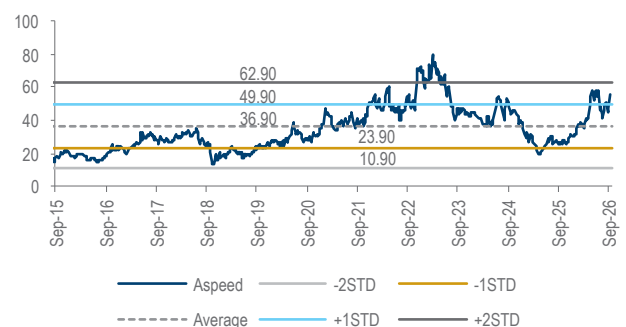
QoQ (%)

Net revenue	29%	23%	18%	46%	5%	15%	20%	16%				
Gross profit	30%	28%	16%	46%	5%	15%	19%	16%				
Operating profit	36%	26%	23%	48%	6%	16%	20%	16%				
Pre-tax profit	21%	28%	15%	47%	8%	13%	20%	16%				
Net profit	18%	30%	13%	47%	9%	13%	20%	16%				

Source: Company, Daiwa forecasts

Aspeed: BMC TAM forecast


Source: Company

Aspeed: 1-year-forward PER bands


Source: Bloomberg

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server BMC shipment (m)	12.8	14.9	6.7	13.0	18.4	32.7	47.6	53.8
Server BMC ASP (USD)	9.3	10.7	12.3	12.6	13.7	16.1	21.7	27.2
PC/AV extension IC ASP (USD)	15.6	14.7	14.1	14.1	12.2	11.2	11.5	11.2

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Server BMC	3,392	4,784	2,581	5,261	7,748	16,629	33,036	46,754
PC/AV extension IC	244	344	276	328	351	367	426	464
Other Revenue	2	82	274	871	985	1,271	2,382	4,899
Total Revenue	3,638	5,210	3,130	6,460	9,085	18,268	35,844	52,117
Other income	0	0	0	0	0	0	0	0
COGS	(1,262)	(1,819)	(1,122)	(2,306)	(2,906)	(5,366)	(10,435)	(15,767)
SG&A	(217)	(314)	(295)	(407)	(476)	(945)	(1,409)	(1,910)
Other op.expenses	(506)	(628)	(633)	(829)	(1,042)	(1,861)	(3,356)	(4,816)
Operating profit	1,652	2,449	1,080	2,918	4,660	10,096	20,645	29,623
Net-interest inc./(exp.)	7	28	73	69	143	139	143	144
Assoc/forex/extraord./others	(49)	138	43	180	52	226	100	50
Pre-tax profit	1,610	2,615	1,195	3,167	4,855	10,461	20,888	29,817
Tax	(297)	(509)	(188)	(596)	(928)	(2,063)	(4,073)	(5,814)
Min. int./pref. div./others	0	0	0	0	0	(1)	(1)	(1)
Net profit (reported)	1,313	2,106	1,007	2,571	3,928	8,396	16,814	24,001
Net profit (adjusted)	1,313	2,106	1,007	2,571	3,928	8,396	16,814	24,001
EPS (reported)(TWD)	31.572	50.612	24.201	61.806	94.412	201.820	404.151	576.907
EPS (adjusted)(TWD)	31.572	50.612	24.201	61.806	94.412	201.820	404.151	576.907
EPS (adjusted fully-diluted)(TWD)	31.572	50.612	24.201	61.806	94.412	201.820	404.151	576.907
DPS (TWD)	21.486	28.915	40.909	20.000	52.000	80.000	80.000	120.000
EBIT	1,652	2,449	1,080	2,918	4,660	10,096	20,645	29,623
EBITDA	1,871	2,689	1,385	3,174	4,984	10,285	20,945	30,137

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,610	2,615	1,195	3,167	4,855	10,461	20,888	29,817
Depreciation and amortisation	219	240	306	256	324	190	299	514
Tax paid	(297)	(509)	(188)	(596)	(928)	(2,063)	(4,073)	(5,814)
Change in working capital	(148)	(380)	272	(645)	77	(1,466)	(2,674)	(2,431)
Other operational CF items	305	344	(1,066)	962	167	0	0	0
Cash flow from operations	1,689	2,310	519	3,145	4,496	7,122	14,441	22,086
Capex	(93)	(120)	(83)	(25)	(274)	(365)	(717)	(1,042)
Net (acquisitions)/disposals	0	0	(46)	(130)	(50)	0	0	0
Other investing CF items	(281)	(55)	128	(191)	(71)	0	0	0
Cash flow from investing	(374)	(175)	(0)	(345)	(395)	(365)	(717)	(1,042)
Change in debt	0	0	0	0	0	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(892)	(1,202)	(1,702)	(756)	(1,967)	(3,328)	(3,328)	(4,992)
Other financing CF items	(24)	(151)	(26)	(25)	(25)	0	0	0
Cash flow from financing	(916)	(1,353)	(1,728)	(781)	(1,991)	(3,328)	(3,328)	(4,992)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	398	781	(1,210)	2,018	2,110	3,428	10,396	16,052
Free cash flow	1,595	2,189	436	3,120	4,222	6,756	13,724	21,044

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	2,510	3,356	1,984	4,011	6,298	9,726	20,122	36,174
Inventory	158	400	306	357	280	588	1,143	1,728
Accounts receivable	831	995	728	1,487	1,642	3,146	6,172	8,974
Other current assets	10	28	405	132	188	188	188	188
Total current assets	3,509	4,779	3,423	5,987	8,408	13,648	27,626	47,064
Fixed assets	189	218	198	355	409	585	1,002	1,530
Goodwill & intangibles	650	757	620	705	608	608	608	608
Other non-current assets	209	173	304	679	909	417	417	417
Total assets	4,557	5,927	4,544	7,726	10,334	15,257	29,653	49,618
Short-term debt	0	0	0	0	0	0	0	0
Accounts payable	264	317	242	426	616	962	1,870	2,826
Other current liabilities	667	1,067	438	1,457	1,828	1,828	1,828	1,828
Total current liabilities	931	1,385	680	1,883	2,444	2,789	3,698	4,654
Long-term debt	0	0	0	0	0	0	0	0
Other non-current liabilities	79	54	31	204	319	319	319	319
Total liabilities	1,010	1,439	710	2,087	2,763	3,109	4,017	4,973
Share capital	344	378	378	378	378	416	416	416
Reserves/R.E./others	3,203	4,110	3,456	5,261	7,193	11,732	25,219	44,229
Shareholders' equity	3,546	4,488	3,834	5,639	7,571	12,148	25,635	44,645
Minority interests	0	0	0	0	0	0	0	0
Total equity & liabilities	4,557	5,927	4,544	7,726	10,334	15,257	29,653	49,618
EV	745,508	744,662	746,033	744,006	741,720	738,292	727,896	711,844
Net debt/(cash)	(2,510)	(3,356)	(1,984)	(4,011)	(6,298)	(9,726)	(20,122)	(36,174)
BVPS (TWD)	85.275	107.871	92.162	135.549	181.978	292.009	616.194	1,073.135

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	18.7	43.2	(39.9)	106.4	40.6	101.1	96.2	45.4
EBITDA (YoY)	26.6	43.7	(48.5)	129.1	57.0	106.4	103.6	43.9
Operating profit (YoY)	30.0	48.2	(55.9)	170.3	59.7	116.6	104.5	43.5
Net profit (YoY)	30.7	60.4	(52.2)	155.4	52.8	113.8	100.3	42.7
Core EPS (fully-diluted) (YoY)	30.5	60.3	(52.2)	155.4	52.8	113.8	100.3	42.7
Gross-profit margin	65.3	65.1	64.1	64.3	68.0	70.6	70.9	69.7
EBITDA margin	51.4	51.6	44.3	49.1	54.9	56.3	58.4	57.8
Operating-profit margin	45.4	47.0	34.5	45.2	51.3	55.3	57.6	56.8
Net profit margin	36.1	40.4	32.2	39.8	43.2	46.0	46.9	46.1
ROAE	40.1	52.4	24.2	54.3	59.5	85.2	89.0	68.3
ROAA	31.8	40.2	19.2	41.9	43.5	65.6	74.9	60.6
ROCE	50.5	61.0	25.9	61.6	70.6	102.4	109.3	84.3
ROIC	n.a.	n.a.	61.0	n.a.	n.a.	n.a.	n.a.	n.a.
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	18.5	19.5	15.7	18.8	19.1	19.7	19.5	19.5
Accounts receivable (days)	67.7	64.0	100.4	62.6	62.9	47.8	47.4	53.0
Current ratio (x)	3.8	3.5	5.0	3.2	3.4	4.9	7.5	10.1
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	88.8	91.6	80.8	82.6	84.1	84.7	39.6	29.7
Free cash flow yield	0.2	0.3	0.1	0.4	0.6	0.9	1.8	2.8

Source: FactSet, Daiwa forecasts

Company profile

Established in November 2004, Aspeed is a fabless IC design company specialising in baseboard management controllers (BMCs), which are mostly used for the remote management of servers. Aspeed is a global leader in BMC, with about 70% market share. Its other products include PC/AV extension SoC, which supports the extension of digital signals of PCs or multimedia content to remote terminals; and Cupola360, which is a spherical image processor that supports 360-degree cameras.

ESG analysis

ESG risks

Risks	Management	Analyst comments
G	Executive/board quality	2 Aspeed's board consists of 9 directors, with 4 independent directors. The directors' backgrounds appear to have a high correlation to semiconductors (either education or work experience), which we see as a positive for executive quality. In 2025, Aspeed held 6 board meetings and the average attendee rate was 100%. Given Aspeed's Chairman is also the CEO, we think it is a negative factor for board/executive management as well as external shareholders.
	Capital management	1 Aspeed declared a DPS of TWD80 in 2025, representing an 77% payout ratio. Being a leading global board management controller (BMC) IC design vendor with c.70% market share globally, the company's leading position and asset-light model (major expenses are from R&D employees) allow it to maintain high ROE/ROA ratios and a high dividend payout policy. BMC IC recently penetrated new applications (such as power supply, storage, edge servers), which can improve its profitability on a higher revenue scale, in our view.
	Related party & transaction	2 In 2025, there were no sales to or purchases from related parties. In previous years, the main purchases from related parties was from Avago. After selling its fully-owned Emulex unit to Aspeed, Avago (Broadcom) became an Aspeed's shareholder with a c.6% stake in 2016. We believe the bargaining power from its 6% shareholding was not sufficient to preload its IC products on Aspeed's products or earn unfair profits. In any case, this relationship ended in February 2021. As such, we see limited risk from related-party transactions.
S	Supply chain management	1 Aspeed ensures that suppliers comply with social responsibility, green environmental protection, occupational safety and health, human rights and RBA, and prefer to work with ISO9001, ISO14001 and ISO45001 certified suppliers. In addition, every Aspeed supplier is required to issue a publicly disclosed sustainability management report.
E	Water & wastewater management	1 Being a fabless IC design company, Aspeed's business doesn't involve a production process. According to the company's data, it produced 4,035 tonnes of wastewater in 2025. As such, we see limited risk from its water and waste water management.
E	Waste & hazardous materials management	1 Being a fabless IC design company, Aspeed's business doesn't involve production processes that may produce hazardous materials. That said, the company indicated it would employ green design concepts and simplified product structures throughout its R&D process in order to reduce pollution. As such, we see limited risk from its waste and hazardous materials management.
E	GHG emissions	1 Due to its fabless business model, Aspeed produces limited emissions of GHG, wastewater, and waste materials each year. According to the company's data, it produced around 273.5 tonnes of CO2 in 2025.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 14 Sep 2026

Source: Daiwa, Company

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Disclosure of investment ratings

Rating	Percentage of total
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Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

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